

Under federal law, if you report the loss before any unauthorized charges are made to your card, you can't be held responsible for any charges. If a thief uses your card before you report it missing, the most you will owe for unauthorized charges is \$50 per card. If somebody uses your credit card number fraudulently without physically stealing the card itself, you are not liable for the charges.

Even though you called the issuer to report the loss, it's a good idea to follow up with a letter in case you need to prove that you did so. After the loss of your card, review your monthly statements carefully and report in writing any unauthorized charges. Lost credit cards should also be reported to each of the major credit-reporting agencies: Experian, TransUnion, and Equifax. Ask them to place a security alert on your account to intercept possibly fraudulent applications for credit.

Identity Theft

Identity theft occurs when someone uses your personal information such as your name, credit card number, or social security number to commit fraud or theft. Using just your date of birth and social security number, thieves can apply for a credit card in your name, and rack up big charges before you even know the account has been opened. When the balance isn't paid, the delinquency is reflected in *your* credit history. It can take years to prove that the card was obtained illegally and to fix your credit report, and during that time you may be denied credit.

Some thieves will even call your credit card company and report a change of address on your account. Since your bills then get redirected somewhere else, you may not even realize there's an issue with your account until it is too late. Other scams include setting up cellular phone service in your name or opening a bank account in your name.



For more information on how to avoid from falling victim to identity theft and how to recover if you do become a victim, visit www.ftc.gov and